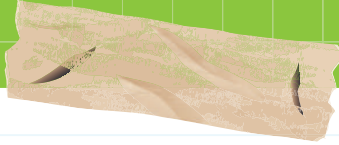


SUMMING UP...

The above factors affect valuation directly. However, these are theoretical concepts. We will see how to use these practically using different valuation methods in upcoming sections.



Valuation for any company is the value of all cash flows that it will generate in the future. Thus, the valuation will depend on factors- cashflows and its growth, investments needs and risks involved.

To summarize, we can say that:

- The faster the growth, the better the valuation.
- Lower the reinvestment needs, higher will be the valuation.
- The lower the risk, the better the valuation. The higher the risk, the lower the investor's conviction; thus, the valuation will also be low.

In the next section, we discuss the various methods that can be used by start-ups for valuation.

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